TECHNIJIAN
technology as a solution

CONFIDENTIAL

IT Compliance & Security Strategy

Cloud Access Control · VDI Architecture · Regulatory Alignment

SEC Reg S-P | FINRA 4370 | FINRA 3110 | SEC 17a-4

PREPARED FOR

American Fundstars Financial Group LLC

Dually Registered RIA / Broker-Dealer

TECHNIJIAN
technology as a solution

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01 Executive Summary

KEY FINDING

VDI alone addresses approximately 40% of compliance requirements. The full Technijian stack (VDI + My Archive + V365 Backup + My Audit + Huntress SAT + policies) achieves 100%.

American Fundstars Financial Group LLC ("AFFG") is a dually registered investment adviser (RIA) and broker-dealer regulated by the Securities and Exchange Commission (SEC) and the Financial Industry Regulatory Authority (FINRA).

The firm currently operates with the following technology infrastructure:

- **Charles Schwab Advisor Services**
  advisorservices.schwab.com
- **Interactive Brokers**
  ndcdyn.interactivebrokers.com
- **Microsoft 365 & OneDrive**
  File storage and collaboration
- **Personal Laptops**
  Unmanaged endpoints for daily operations

This strategy document outlines a comprehensive compliance approach that goes beyond VDI alone to achieve full regulatory alignment with SEC Reg S-P (2024 Amendments), FINRA Rule 4370, and FINRA Rule 3110. The approach follows a six-pillar framework addressing infrastructure, access control, data protection, archiving, identity management, and continuous monitoring.

COMPLIANCE POSTURE PROJECTION

CURRENT STATE

~15%

Personal laptops · No DLP · No archive or audit

POST-IMPLEMENTATION

100%

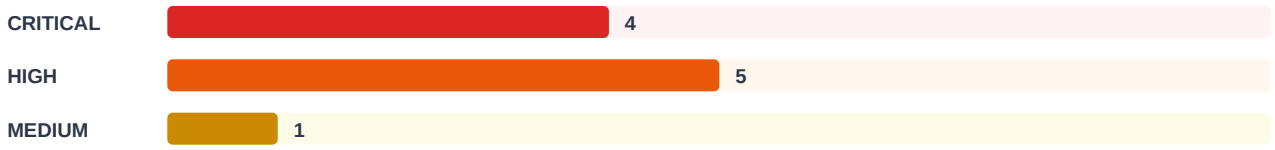
Full Technijian stack + policies · Exam-ready

02 Current State Assessment

Risk analysis of existing infrastructure against regulatory requirements

RISK AREA	CURRENT STATE	RISK LEVEL
Device Management	Personal laptops, no MDM enrollment	CRITICAL
Access Control	No IP restrictions on Schwab / IBKR portals	HIGH
Data Loss Prevention	No DLP policies configured in M365	CRITICAL
Email Archiving	No WORM-compliant archive (SEC 17a-4)	CRITICAL
Multi-Factor Auth	Partial — platform-dependent, not enforced	HIGH
Audit Logging	Minimal — no unified log or 7-year retention	HIGH
Endpoint Protection	Inconsistent across personal devices	HIGH
Communications Capture	No Teams/email retention for FINRA 3110	CRITICAL
Clipboard / Print Controls	No isolation between VDI and local device	HIGH
Supervisory Continuity	No alternate supervisor procedures documented	MEDIUM

RISK DISTRIBUTION



OVERALL CURRENT COMPLIANCE SCORE

~15% Significant regulatory exposure requiring immediate remediation

03 VDI Architecture Recommendation

Isolated Windows 11 VDI vs. shared RDS sessions — compliance-driven analysis

RECOMMENDATION

Azure Virtual Desktop (AVD) with Windows 11 Enterprise personal desktops.

Each user receives a dedicated, isolated VM — the strongest compliance posture for a regulated firm.

ARCHITECTURE COMPARISON

FACTOR	WINDOWS 11 VDI (PERSONAL)	RDS SHARED SESSIONS
User Isolation	Complete — separate VM per user	Session-based — same OS kernel
Cross-User Data Risk	Zero — no shared resources	Non-zero — shared memory, temp files
FINRA 3110 Accountability	Clean — 1 user = 1 machine = 1 audit trail	Muddier — must prove session isolation
My Audit Attribution	1 agent per VM, clean per-user capture	Session disambiguation required
Blast Radius if Compromised	One user's VM only	Entire server + all active sessions
DLP Granularity	Per-user, per-VM policies	Per-session — harder to differentiate
App Compatibility	Full Win 11 — Schwab & IBKR native	Some financial apps have issues
Examiner Optics	Simple: "each user has own desktop"	Invites follow-up questions
Cost per User	Higher (~$30–50/mo more)	Lower (10–15 users per server)

WHY THIS MATTERS FOR AFFG

FINRA 3110 — Individual Accountability

Examiners want each associated person's activity attributable to them and only them. A dedicated VM makes this trivially provable. With RDS, you must explain session isolation to a non-technical examiner — unnecessary risk during an examination.

SEC Reg S-P — Data Safeguards

The 2024 amendments require preventing unauthorized access to customer information. On a shared RDS server, a privilege escalation in one session theoretically exposes all sessions. Isolated VMs contain the attack surface to a single user.

Technijian My Audit — Clean Attribution

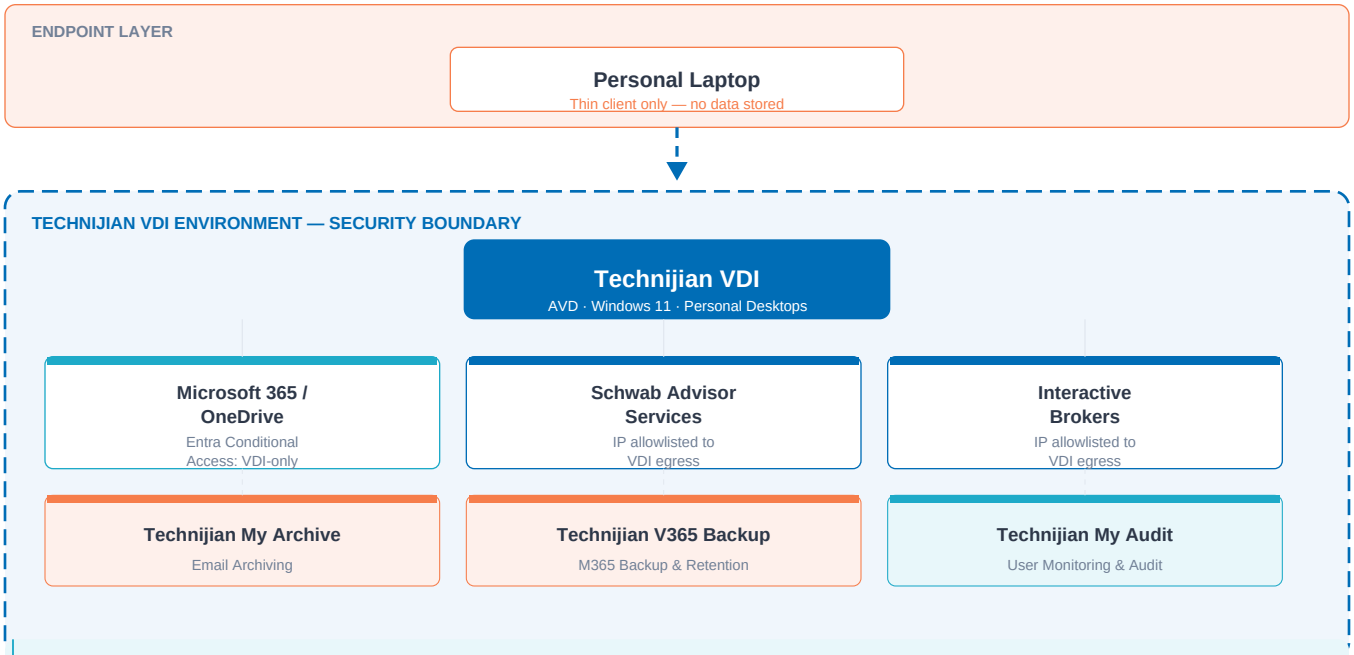
Screen recording, keystroke logging, and application monitoring are cleanest on a dedicated desktop. In RDS multi-session, My Audit must disambiguate sessions — adding complexity that can create gaps in audit evidence.

Schwab & IBKR Compatibility

Schwab Advisor Services and Interactive Brokers TWS assume a standard Windows desktop. Financial applications have known issues with Windows Server multi-session environments, particularly around certificate stores and browser sessions.

04 Recommended Architecture

Layered security architecture — no client data touches the personal device



CORE DESIGN PRINCIPLE

No client data touches the personal device. The VDI is the security boundary.

VDI SESSION CONTROLS

- ✓ Clipboard redirection — disabled
- ✓ USB / external storage — blocked
- ✓ Session auto-lock — 15 min inactivity
- ✓ Local drive mapping — disabled
- ✓ Print-to-local — disabled or audited
- ✓ Watermarking — screen capture deterrence

05 Six-Pillar Compliance Strategy

01 VDI as Security Boundary

- ✓ All operations within Technijian VDI
- ✓ No local data on personal devices
- ✓ Clipboard & drive mapping disabled
- ✓ USB/external storage blocked
- ✓ Session auto-lock: 15 min

02 Conditional Access & IP Lockdown

- ✓ Entra ID: M365 sign-ins from VDI only
- ✓ Schwab: IP allowlisted to VDI egress
- ✓ IBKR: IP restricted to VDI egress
- ✓ Legacy auth protocols blocked
- ✓ Geo-fencing to approved locations

03 Data Loss Prevention

- ✓ M365 DLP for SSN, account #s, PII
- ✓ External sharing blocked in OneDrive
- ✓ Email DLP: no client data to personal
- ✓ Financial SITs configured
- ✓ Quarterly policy review cycle

04 Email & Comms Archiving

- ✓ Technijian My Archive (SEC 17a-4)
- ✓ WORM-compliant email retention
- ✓ Technijian V365 Backup for M365 data
- ✓ 7-year retention with immutability
- ✓ eDiscovery-ready search & export

05 Authentication & Identity

- ✓ MFA on all: VDI, M365, Schwab, IBKR
- ✓ Named accounts (FINRA 3110)
- ✓ 14+ character password policy
- ✓ Privileged access management
- ✓ Annual access reviews

06 Audit, Monitoring & Reporting

- ✓ Technijian My Audit: user monitoring
- ✓ VDI session logging with attribution
- ✓ Real-time anomaly & insider threat alerting
- ✓ Monthly compliance dashboards
- ✓ Supervisory audit trail (FINRA 3110)

06 Regulatory Control Mapping

Each control mapped to the specific regulation it satisfies

CONTROL	SEC REG S-P	FINRA 4370	FINRA 3110	SEC 17a-4
VDI Environment	✓ Safeguards	✓ Alt Location	—	—
Conditional Access	✓ Access Control	—	—	—
IP Allowlisting	✓ Access Control	—	—	—
DLP Policies	✓ Data Protection	—	—	—
My Archive	—	—	—	✓ Records
Comms Capture	—	—	✓ Supervision	✓ Records
MFA	✓ Authentication	—	—	—
Named Accounts	—	—	✓ Accountability	—
My Audit	✓ Monitoring	—	✓ Supervision	✓ Records
Incident Response	✓ Required	✓ BCP Integration	—	—
Breach Notification	✓ 30-day Required	—	—	—
Vendor Oversight	✓ 72-hr Required	—	—	—
Session Controls	✓ Safeguards	—	—	—
Disposal Procedures	✓ Required	—	—	—

REGULATORY COVERAGE SUMMARY

SEC Reg S-P (2024 Amendments) — 100%
10 of 10 requirements addressed

FINRA Rule 4370 — 100%
2 of 2 technical controls mapped

FINRA Rule 3110 — 100%
3 of 3 supervisory provisions covered

SEC Rule 17a-4 — 100%
3 of 3 recordkeeping requirements met

07 Implementation Roadmap

18-week phased deployment with overlapping workstreams

01 Foundation

Weeks 1–4

Included in VDI subscription

- Deploy Technijian VDI environment
- Enroll users in VDI with MFA
- Configure VDI security policies (clipboard, drives, USB, print)
- Configure Entra ID Conditional Access for M365

02 Access Lockdown

Weeks 3–6

Included in M365 licensing

- IP allowlist Schwab Advisor Services to VDI egress
- Block legacy authentication in Entra ID
- IP allowlist Interactive Brokers to VDI egress
- Deploy endpoint protection within VDI

03 Data Protection

Weeks 5–8

M365 E5 Compliance add-on

- Configure M365 DLP policies for financial PII
- Deploy email DLP rules
- Enable OneDrive sharing restrictions
- Configure sensitive information types (SITs)

04 Archiving & Records

Weeks 7–10

My Archive + V365 Backup license

- Deploy Technijian My Archive for email
- Enable 7-year retention with immutability
- Deploy Technijian V365 Backup for M365
- Set up eDiscovery workspace

05 Monitoring & Audit

Weeks 9–12

My Audit license

- Deploy Technijian My Audit (user monitoring)
- Set up insider threat & anomaly alerting
- Configure VDI session logging
- Build compliance dashboard

06 Validation & Testing

Weeks 11–14

Huntress SAT license

- Penetration testing of VDI environment
- Deploy Huntress SAT for security training
- Post-implementation compliance gap assessment
- Phishing simulations & training completion tracking

07 Policy & Compliance Docs

Weeks 13–18

Technijian consulting

- Written Incident Response Plan (IRP)
- Service provider oversight policy (72-hr clause)
- Breach notification procedures & templates
- BCP customer disclosure + info disposal + annual sign-off

08 Cost-Benefit Analysis

VDI ALONE

~40%

Compliance coverage

- ✓ Managed environment
- ✓ No local data storage
- ✓ Session controls
- ✗ No access lockdown
- ✗ No DLP policies
- ✗ No email archive (My Archive)
- ✗ No user monitoring (My Audit)

FULL STRATEGY

100%

Compliance coverage

- ✓ All SEC Reg S-P requirements
- ✓ All FINRA 4370 technical controls
- ✓ FINRA 3110 supervisory continuity
- ✓ SEC 17a-4 recordkeeping
- ✓ Examination-ready documentation
- ✓ My Audit continuous monitoring
- ✓ V365 Backup complete data protection

RISK OF INACTION

- SEC enforcement actions and monetary fines
- FINRA examination deficiency letters
- Customer data breach liability and litigation
- Reputational damage and client attrition

NEXT STEPS

1. Review this strategy document and confirm scope alignment
2. Technijian to schedule kickoff for Phase 1 (VDI deployment)
3. AFFG to designate registered principal for policy sign-off
4. Technijian to begin policy drafting in parallel with technical deployment

TECHNIJIAN SOLUTION STACK

- **Technijian VDI**
  Managed virtual desktop environment
- **Technijian My Archive**
  WORM-compliant email archiving (SEC 17a-4)
- **Technijian V365 Backup**
  Microsoft 365 backup and retention
- **Technijian My Audit**
  User activity monitoring and insider threat detection
- **Huntress SAT**
  Security awareness training and phishing simulations